

NATIONAL POLICY ON MICRO, SMALL AND MEDIUM ENTERPRISES (MSMEs)

Federal Republic of Nigeria

1. INTRODUCTION

Micro, Small and Medium Enterprises (MSMEs) are the backbone of the Nigerian economy. They account for the overwhelming majority of registered businesses in the country, contribute close to half of national GDP, and provide the largest share of non-farm employment. Any serious strategy for job creation, poverty reduction and industrial growth in Nigeria must therefore begin with the MSME sector.

This policy document sets out an agreed national framework for classifying, supporting and regulating MSMEs. It is intended for use by government agencies, development finance institutions, commercial banks and the enterprises themselves.

2. CLASSIFICATION CRITERIA

The National Policy on MSMEs classifies enterprises using two criteria: the number of persons employed and the value of assets, excluding land and buildings.

Micro enterprise

- Fewer than 10 employees
- Total assets of less than NGN 10 million

Small enterprise

- Between 10 and 49 employees
- Total assets of NGN 10 million up to NGN 100 million

Medium enterprise

- Between 50 and 199 employees
- Total assets of NGN 100 million up to NGN 1 billion

Where there is a conflict between the employment criterion and the asset criterion, the employment criterion takes precedence. For example, a business with 15 employees but assets of only NGN 4 million is still classified as a small enterprise, because the number of employees is the deciding factor.

An enterprise employing 200 or more people is no longer an MSME and is treated as a large enterprise for policy and tax purposes.

3. HOW DIFFERENT INSTITUTIONS DEFINE MSMEs

Although the National Policy provides a single official classification, several Nigerian institutions apply their own thresholds when designing loan products and support programmes. Students should be aware that these definitions differ.

SMEDAN (Small and Medium Enterprises Development Agency of Nigeria)

- Micro: fewer than 10 employees, assets below NGN 5 million
- Small: 10 to 49 employees, assets of NGN 5 million to NGN 50 million
- Medium: 50 to 199 employees, assets of NGN 50 million to NGN 500 million

Bank of Industry (BoI)

- Micro: fewer than 10 employees, annual turnover below NGN 20 million
- Small: 10 to 49 employees, turnover of NGN 20 million to NGN 100 million
- Medium: 50 to 199 employees, turnover of NGN 100 million to NGN 1 billion

Central Bank of Nigeria (CBN)

- Micro: fewer than 10 employees, assets below NGN 10 million
- Small: 10 to 49 employees, assets of NGN 10 million to NGN 100 million
- Medium: 50 to 199 employees, assets of NGN 100 million to NGN 1 billion

The employee ranges are broadly consistent across all three institutions. The differences lie mainly in the asset and turnover thresholds. BoI is the only one of the three that defines the micro category primarily by turnover rather than by assets.

In practice this means the same business can be treated as micro by SMEDAN and as small by the Bank of Industry, which affects the loan products it qualifies for.

4. SECTOR DISTRIBUTION OF MICRO ENTERPRISES

The national MSME survey estimated that there were approximately 36.99 million micro enterprises operating in Nigeria. Their distribution across sectors is heavily concentrated:

Wholesale and retail trade	54.67 per cent
Manufacturing	13.21 per cent
Agriculture	8.92 per cent
Services	7.80 per cent
Other sectors	15.40 per cent

Wholesale and retail trade dominates the micro segment, accounting for more than half of all micro enterprises. This concentration in trading rather than production is one reason why the sector adds relatively little value to raw materials and remains vulnerable to import price shocks.

5. KEY CHALLENGES FACING MSMEs IN NIGERIA

Poor access to credit

Most micro enterprises are funded from personal savings, family contributions or community thrift and cooperative schemes. Commercial banks regard them as high risk and demand collateral that they cannot provide.

Limited market access

Small producers struggle to reach buyers beyond their immediate locality and are rarely able to meet the volume or quality standards required by large corporate or export buyers.

Weak infrastructure

Unreliable electricity supply, poor road networks and high logistics costs raise the cost of doing business substantially. Many enterprises must run private generators, which erodes already thin margins.

Discriminatory legislation and multiple taxation

Overlapping levies from federal, state and local authorities impose a disproportionate compliance burden on very small businesses.

Lack of technical and managerial skills

Many owners have no formal training in bookkeeping, costing, marketing or people management, which limits the ability of the business to grow beyond the founder.

6. GOVERNMENT INTERVENTIONS AND SUPPORT PROGRAMMES

Government support for small enterprises in Nigeria dates back to the 1970s and has been delivered through a long succession of agencies and schemes.

Historical schemes

- Agricultural Credit Guarantee Scheme Fund (1977), which guaranteed bank lending to farmers and agro-processors
- National Economic Reconstruction Fund (NERFUND), established to provide medium to long term local and foreign currency loans to small enterprises
- Nigerian Industrial Development Bank and its successor institutions

Current institutions and schemes

- SMEDAN, which provides capacity building, business development services, enterprise clusters and industrial parks
- Bank of Industry loan schemes offering single-digit interest rates to qualifying small and medium enterprises
- Central Bank of Nigeria intervention funds, including targeted facilities for agriculture, manufacturing and youth entrepreneurship
- The Finance Act 2019 and Finance Act 2020, which exempt companies with annual turnover below NGN 25 million from company income tax and reduce the rate for medium-sized companies with turnover between NGN 25 million and NGN 100 million

7. POLICY OBJECTIVES

The policy commits government to improving the business environment, widening access to affordable finance, strengthening the technical and managerial capacity of operators, and improving access to both domestic and export markets. Progress is to be measured by growth in MSME contribution to GDP, the number of jobs created, and the share of enterprises formally registered with the Corporate Affairs Commission.